

The results showed a 28 percent average return, or 16 percent annualized. Given these exceptional results, what can I say about how they came about? Well, I will share a few quirkier aspects of investing I've learned the hard way — things you might not think about.

*Sosnoff's law.* This comes from a book called *Humble on Wall Street*, published in 1975 and still one of the best books on the experience of investing, on what it feels like. Its author, Martin Sosnoff, wrote that “the price of a stock varies inversely with the thickness of its research file. The fattest files are found in stocks that are the most troublesome and will decline the furthest. The thinnest files are reserved for those that appreciate the most.”

In other words, the best ideas are often the simplest. If I find myself working really hard to justify keeping or buying a stock, I think of Sosnoff's law. I've wasted countless hours on bad stocks and bad businesses.

Many great investors have some version of this truism. (Peter Lynch comes to mind: “Never invest in any idea you can't illustrate with a crayon.”) *Simplicity is best.*

*Beware of “fixed ideas.”* Max Stirner was a German philosopher who wrote a bombshell of a book published in 1845. English speakers know it as *The Ego and His Own*. It is a difficult book but full of powerful concepts. Stirner contended that people do not have ideas. Rather, their ideas have them. These “fixed ideas” then rule over their thinking.

Stirner wrote that a thought was your own only when you “have no misgiving about bringing it in danger of death at every moment.” He actually looked forward to having his own ideas tested and knocked down:

“I shall look forward smilingly to the outcome of the battle, smilingly lay the shield on the corpses of my thoughts and my faith, smilingly triumph when I am beaten. That is the very humor of the thing.”

In markets, you see many people with fixed ideas. They are the ones who always recommend gold, no matter what. They are the ones always expecting the market to crash, forever obsessed with the Fed or the theories of dead economists. They are the ones always expecting the dollar to crash. They are the ones who can't change their mind.